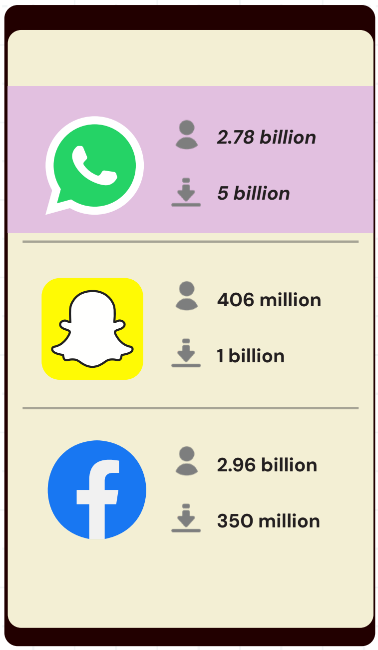
2. EDGES ARE EITHER COST OR DIFFERENTIATION-RELATED

The competitive edges of companies can be broadly classified as cost advantages or differentiation advantages.

COST ADVANTAGE

	COMPANY A	OTHER COMPANIES
Cost of a product	✓ ₹ ₹ Cost advantage	₹ ₹ ₹ ₹

In the example of Chinese companies, their cost advantage came from their huge scale of production, and in the example of Bangladeshi textile companies, their cost advantage came from their low wage costs.



DIFFERENTIATION ADVANTAGES

Differentiation advantages are gained by making or positioning a product differently from others in the market. For example, WhatsApp has a differentiation advantage since it has a lot of users. There are other messaging apps in the market, however, since they do not have as many users. So, they will find it difficult to get more people to sign up, as the main utility of a messaging app is to connect with numerous people.

This type of differentiation advantage is called network advantage.

When we look at iPhones, they do not have a cost advantage and in fact, they are typically costlier than other phones in their market. But an iPhone will differentiate itself through its legacy, user experience, design, camera and of course, the social status it provides to the user.